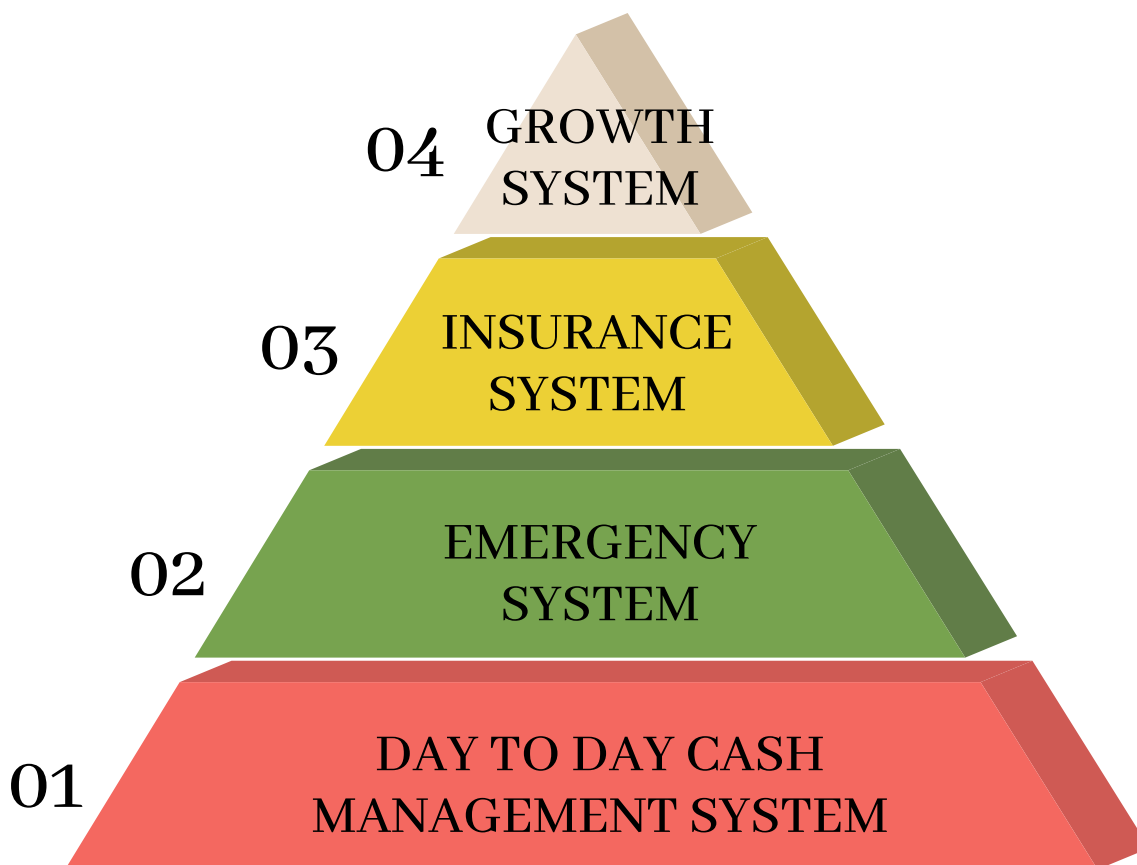




BEGIN PLANNING

We learnt about the limitations and characteristics of the Lazy Financial Plan. Now we move on to see how it works.

The Lazy Financial Plan is structured in a way such that it can be divided into four tiers. Only after taking care of the lower tier, will we move to the next tier. This will ensure that we build a reliable system that is easy to follow through and is 'Lazy'. With all these tiers and systems in place, all different financial needs will be fulfilled. However, it is essential to plan for each of these tiers systematically.

We observed that several different financial need hierarchy pyramids are used in the personal money management industry. However, there is too much noise around them and at times it gets difficult for an individual to understand which part of the pyramid they are dealing with.

The Lazy Plan is a simplified version of such financial pyramids. A pyramid based approach works best as they are more intuitive and we can have a better understanding of the rolling out of our plan.

Let us take a look at various financial pyramids that are currently used in the money management industry.